UNIT 2

Accounting for Merchandising Activities

Learning Goals

1. Describe merchandising and identify and explain the important income statement and balance sheet components for a merchandising company.
2. Describe both periodic and perpetual merchandise inventory systems.
3. Analyze and record transactions for merchandise purchases and sales using a perpetual system.

Learning Goals

4. Prepare adjustments for a merchandising company.
5. Define, prepare, and use various merchandising income statements.
6. Prepare closing entries for a merchandising company.

Merchandising Activities

Merchandiser: A company that earns net income by buying and selling merchandise.

Wholesaler: A company that buys large amounts of products from manufacturers or other wholesalers and sells them to retailers or other wholesalers

Retailer: is an intermediary that buys relatively small amounts of products from manufacturers or wholesalers and sells them directly to consumers.

Reporting Financial Performance

Merchandisers

Sales: The sum of the retail value of all items sold.

Net Sales: The sum of the retail value of all items sold LESS sales discounts*, sales returns* and allowances*.(* more on these later)

Gross Profit (aka Gross Margin): Net sales LESS the cost of goods sold.

Gross Profit Ratio (aka Gross Margin Ratio):

$$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100\%$$

The higher the better. A high value means that the business is keeping a larger portion of the money coming into the business.

Computing Net Income

Merchandiser

Net Sales

−

Cost of Goods Sold

=

Gross Profit

−

Operating Expenses

=

Net Income

Service Company

Revenues

−

Operating Expenses

=

Net Income

Merchandiser

Net Sales

The sum of the retail value of all items sold LESS sales discounts, sales returns and allowances.

—

Cost of Goods Sold

(aka COGS): An expense account showing the amount the business pays for the goods they have sold.

Account # starting with a "5". For example 502.

=

Gross Profit
(aka Gross Margin)

Net sales LESS the cost of goods sold.

—

Operating Expenses

These are the expenses that we are used to (6s). They include expenses, aside from cost of goods sold, that are incurred in the process of earning a profit.

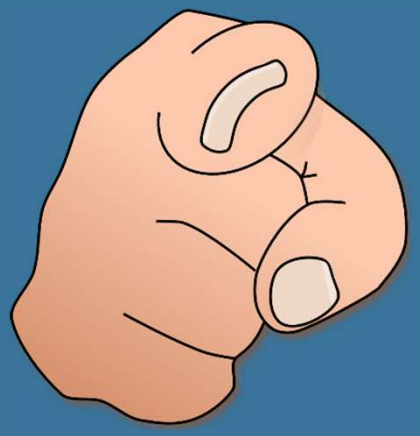
=

Net Income

Z-Mart
Summarized Income Statement Information
For Year Ended December 31, 2011

Net sales	$314,700
Cost of goods sold	230,400
Gross profit from sales	$ 84,300
Total operating expenses and other revenues and expenses	68,960
Net income	$ 15,340

Your Turn



- QS 6-1 pg. 299
- Ex 6-1 Pg. 305

Inventory

Products a company owns for the purpose of selling to customers.

- It is often referred to as Merchandise Inventory (aka M.I.).
- Is classified as a current asset as it is expected that this inventory will be sold within a year.

Z-Mart
Balance Sheet
December 31, 2011

Assets			
Current assets:			
Cash		$ 8,200	
Accounts receivable		11,200	
Merchandise inventory		**21,000**	
Prepaid expenses		1,100	
Total current assets			$41,500
Plant and equipment:			
Office equipment	$ 4,200		
Less: Accumulated depreciation	1,400	$ 2,800	
Store equipment	$30,000		
Less: Accumulated depreciation	6,000	24,000	
Total plant and equipment			26,800
Total assets			$68,300
Liabilities			
Current liabilities:			
Accounts payable		$ 16,000	
Salaries payable		800	
Total liabilities			$16,800
Equity			
Kent Marty, capital			51,500
Total liabilities and equity			$68,300

Merchandise Inventory

Cost of merchandise inventory includes:

- Costs incurred to purchase the goods.

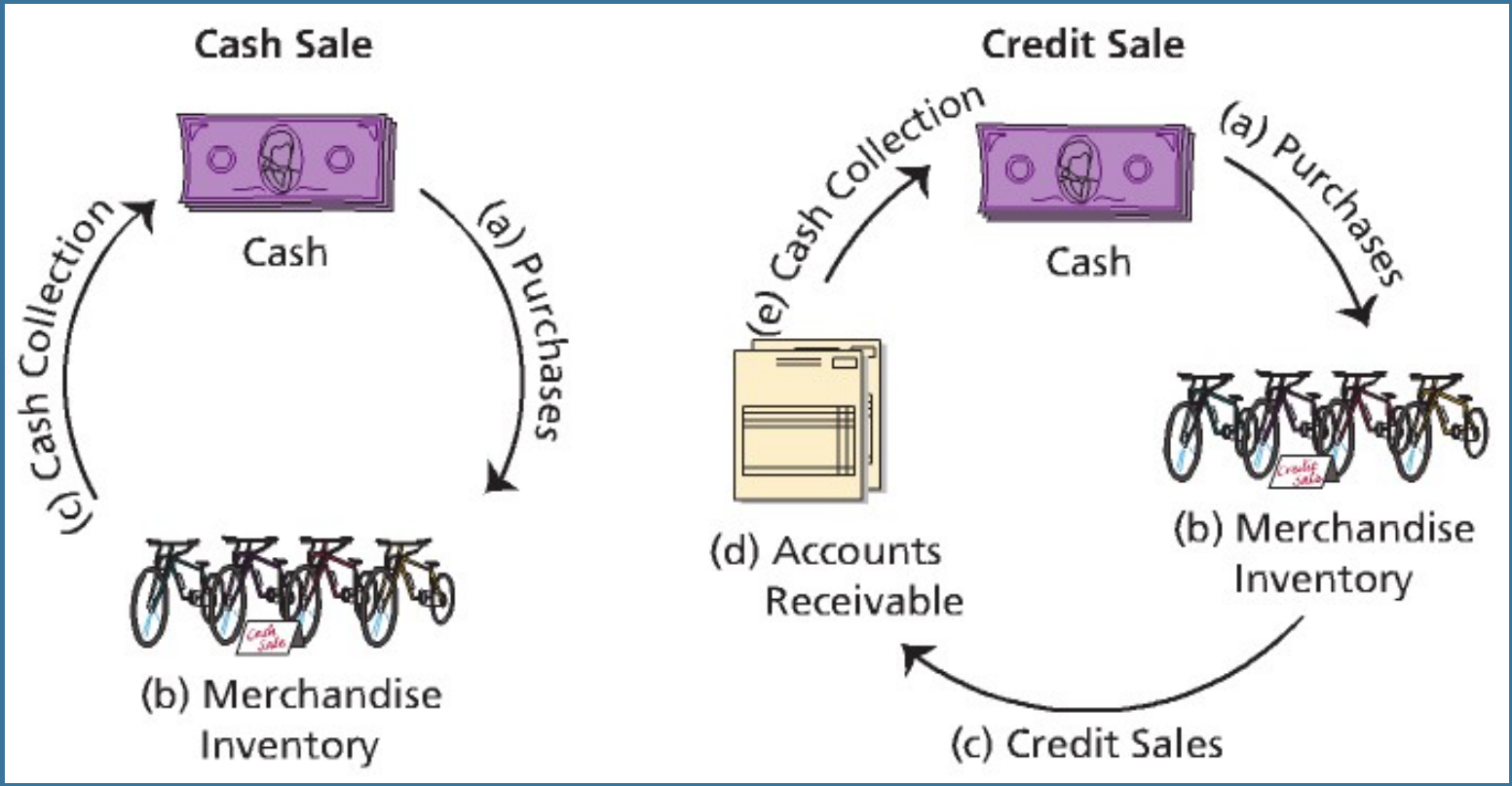
- Shipping costs.

- Other costs required to make goods ready for sale.

Merchandising Cost Flow

Operating Cycles

A merchandising company's operating cycle begins with the purchase of merchandise and ends with the collection of cash from the sale of that merchandise, or the discarding of the goods if they have spoiled.



In the credit sale cycle, the receipt of cash is delayed by the amount of time it takes the customer to remit payment. There is also the risk of the customer not paying.

Other Factors Impacting Operating Cycle Length

Different types of business will have varied operating cycle lengths regardless of whether they accept cash or credit sales.

Merchandise Inventory Systems

There are two primary inventory systems that are used by modern businesses.

Perpetual

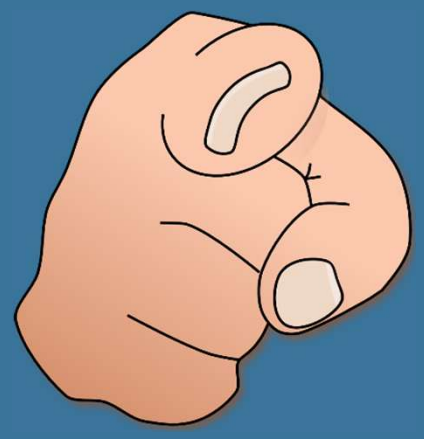
- Provides a continuous record of:
  - The amount of merchandise inventory on hand.
  - Cost of goods sold to date.
- Has become the norm over the past 20 years.
- Even being used by quite small businesses.
- Will still require a physical count of the items from time to time. ("month-end" or "year-end" are common physical count times.)
- ***"MI" purchases are reported immediately in the Merchandise Inventory account.

Periodic

- Requires a physical count of goods to determine:
  - The amount of merchandise inventory on hand.
  - Cost of goods sold.
- Has become less relevant as the cost of implementing perpetual systems has decreased.
- ***"MI" purchases are initially recorded in a temporary expense account called "Purchases".

Let's see how this works →

Your Turn



QS 6-2, 6-3, 6-4 pg. 300

Transactions and Related Journal Entries Under the Perpetual Inventory System

Recording merchandise transactions involves new issues surrounding the purchase and sale of merchandise inventory.

We will look at the transactions where a business

a. **buys merchandise inventory**

b. **sells merchandise inventory**

Perpetual System - Purchases

Purchases on Account

Nov. 2	**Merchandise Inventory**	**1,200**	
	Accounts Payable		**1,200**
	Purchased merchandise inv. on account		

Purchases for Cash

Nov. 2	**Merchandise Inventory**	**1,200**	
	Cash		**1,200**
	Purchased merchandise inv. For cash		

(1) TREX

9797 Cherry Rd.
Windsor, ON N9G 2P5

Sold to

Firm Name *Z-Mart* (3)
Attention of *Tom Novak, Purchasing Agent*
Address *10 Prairie Street*
Winnipeg *MB* *R3J 1G9*
City Province Postal Code

Invoice	
Date (2)	Number
Nov. 2/11	4657-2

(4) (5) (6)

P.O. Date	Salesperson	Terms	Freight	Ship
Oct. 30/11	#141	2/10, n/30	FOB Destination	Via FedEx

Model No.	Description	Quantity	Price	Amount
(7) *CH015*	*Challenger X7*	*1*	*490*	*490*
SD099	*Speed Demon*	*1*	*710*	*710*
			SubTotal	1,200
			Ship. Chg.	—
			Tax	—
			(8) Total	1,200

See reverse for terms of sale and returns.

(1) Seller
(2) Invoice date
(3) Purchaser
(4) Order date
(5) Credit terms
(6) Freight terms
(7) Goods
(8) Total invoice amount

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Don’t Forget!!

We must adjust the total on the invoice if any of the following items apply.

1. Any returns and allowances for unsatisfactory items received from a supplier;

2. Any discounts given to a purchaser by a supplier for early payment; and

3. Any required freight costs paid by a purchaser.

Purchase Returns and Allowances

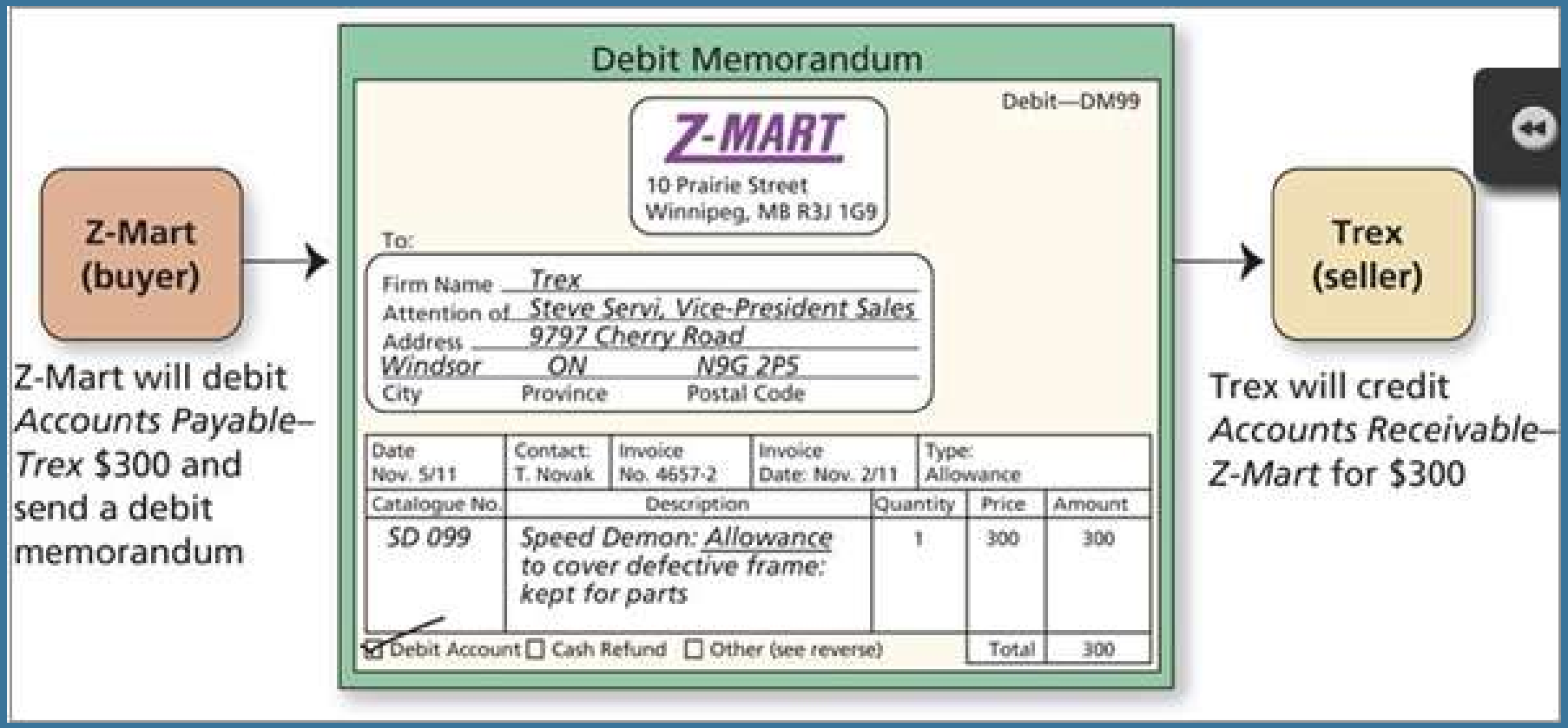
- *Purchase returns* are merchandise received by the purchaser but returned to the supplier for various reasons.

- A *purchase allowance* is a reduction in the cost of defective merchandise that is still “marketable/saleable” if the supplier grants an acceptable allowance.

A purchaser will typically send a *debit memorandum* or a letter to the supplier outlining the details of the return or allowance. (the details to be included in the debit memo would be worked out via phone or email prior to it being sent)

Debit Memorandum

A notice that we the purchaser are debiting (reducing) our A/P to the supplier.



Perpetual System-Purchase Returns

Purchase Returns/Allowances Cash

Nov.5	**Cash**	**300**	
	Merchandise Inventory		**300**
	Purchase return…cash		

Purchase Returns/Allowances on Account

Nov.5	**Accounts Payable**	**300**	
	Merchandise Inventory		**300**
	Purchase return…credit.		

Trade Discounts

- Some terminology:
  - List Price: Aka catalogue price…typically the price listed in a catalogue by the manufacturer or wholesaler.
  - Trade Discount: A percentage that is taken off the list price. The discount depends on many factors (quantity ordered etc.).
  - It is important that purchasers record the list price, less the trade discount, when entering transactions. (the actual cost)

Remember the Cost Principle!

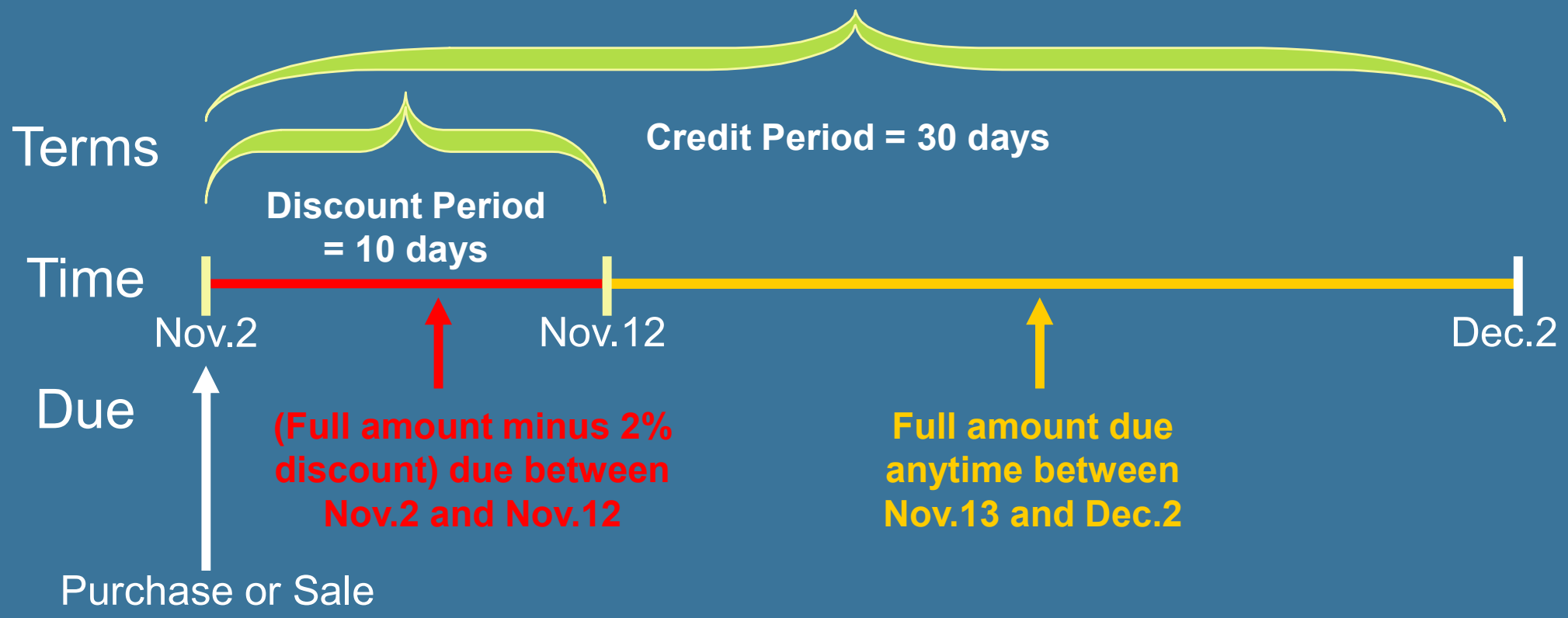
Purchase Discounts

- Some important terms
  - Credit terms: Are a listing of the timing of payments and possible discounts between buyer and seller.
    - Examples
      - n/30…means the net (full) amount is due within 30 days of the invoice date. The 30 days is referred to as the credit period.
      - n/10 EOM…means the net amount is due within 10 days of the End Of Month in which the purchase occurred.
      - Credit terms can also include a cash discount. From the purchasers perspective this is referred to as a purchase discount.
        - 2/10, n/30…means 2% discount if the payment is received within 10days of the invoice date…full amount if received from the 11th to the 30th day after the invoice date.
        - The 10 days in the above example is known as the discount period.

This is a purchase discount.

Purchase/Sales Discounts

A deduction from the invoice price granted to encourage early payment of the amount due.
Example – 2/10, n30



Purchase Discount Journal Entry

Purchase Discounts- Assume the purchase of $900 merchandise inventory on November 2 was on the terms 2/10,n30.

Case 1-Discount taken

Nov.12	**Accounts Payable**	**900**	
	Merchandise Inventory		**18**
	Cash		**882**
	2% x (1,200 - 300) = 18		

The *Cost Principle* states that we must record our purchases at their actual cost. So we must reduce the value of MI.

Case 2-Discount not taken

Nov.22	**Accounts Payable**	**900**	
	Cash		**900**
	paid supplier for Nov 12 purchase		

Most businesses try to take advantage of the savings offered through purchase discounts.

Mini-Quiz

Prepare journal entries for each of the following transactions. Assume a perpetual merchandise inventory system.

October 6: Purchased 650 units of merchandise inventory at $5 per unit.
The seller offered a cash discount of 2/10, n/30.

October 8: Returned 25 defective units from the Oct 6th purchase and received full credit.

October 10: Paid the amount due from Oct 6th in full, less the returned items.

Transfer of Ownership

- The point where ownership of merchandise inventory transfers from the buyer to the seller **must** be identified on the invoice.

- This is important because it determines who pays transportation costs and other "incidental" costs of transit such as insurance.

- Typically, the party responsible for the shipping charges is responsible for insuring the merchandise during transport.

The Two "Points of Transfer"

Transfer Point #1

- FOB: Is the acronym used to specify the ownership transfer point. FOB stands for *Free On Board.*
- *FOB Shipping Point* (aka *FOB Factory*) means the buyer accepts ownership at the seller's place of business. The buyer is then responsible for shipping and insurance costs.

The Two "Points of Transfer"

Transfer Point #2

- *FOB Destination* means ownership of the goods transfers to the buyer at the buyer's place of business.

  The seller is responsible for shipping and insurance costs.

Transportation Charges – Perpetual System

Seller → **Goods** → **Buyer**

FOB Destination
(Seller pays for shipping charges)

FOB Shipping Point
(Buyer pays shipping charges)

Recording Transportation Costs

Suppose our business, Z-Mart, agreed to FOB Shipping Point arrangement. The shipping costs were $75.

Nov.24	**Merchandise Inventory**	**75**	
	Cash		**75**
	Paid freight charges on purchased merchandise.		

Recall;

Cost of merchandise inventory includes:

- Costs incurred to purchase the goods.
- Shipping costs.
- Other costs required to make goods ready for sale.

Transportation Costs

- Shipping costs on *purchases* are called *transportation-in* or *freight-in.*

- Shipping costs on sold goods are called *transportation-out* or *freight-out.*

A Quick Summary

Nov. 2	Merchandise Inventory	1,200	
	Accounts Payable		1,200
	Purchased merchandise on credit.		

We bought some Merchandise Inventory on account.

Nov. 5	Accounts Payable	300	
	Merchandise Inventory		300
	Purchase allowance re debit memo dated November 5.		

We received a $300 purchase allowance due to a bent frame

Nov. 12	Accounts Payable	900	
	Merchandise Inventory		18
	Cash		882
	Paid for the purchase of November 2 less the allowance of November 5 and the discount; $1,200 − $300 = $900; 2% × $900 = $18; $900 − $18 = $882.		

We paid what we owed, less a 2% purchase discount.

Nov. 24	Merchandise Inventory	75	
	Cash		75
	Paid freight charges on purchased merchandise.		

Paid the shipping bill related to having the merchandise shipped to us.

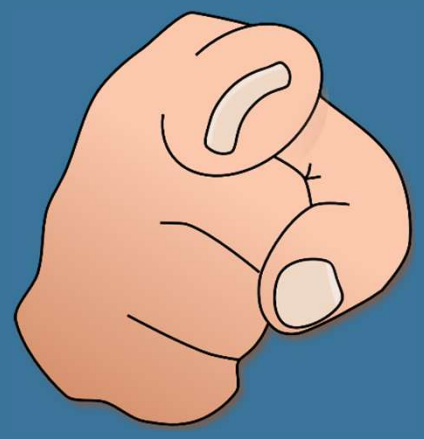
(we are doing this for illustration purposes. Original invoice said FOB Destination, in which case we would not be responsible for paying shipping)

Cash	
	882
	75
	957

Merchandise Inventory	
1200	300
75	18
957	

A/P	
300	1200
900	
	0

Your Turn



QS 6-5,6-6,6-7

Ex 6-2, Ex 6-3

Merchandise Sales

Perpetual Inventory System

All of the items we have considered about merchandise inventory from the purchasers perspective also have special accounting requirements from the sellers perspective.

- Merchandise Purchases (Sales)
- Sales Discounts
- Sales Returns
- Sales Allowances (credit memos)

Perpetual System

Sale of Merchandise (1 sale = 2 journal entries)

Suppose Z-Mart sells $1,000 worth of products on account. They offer a 2% discount if paid within 10days, the net amount due in a minimum of 60 days.

Nov.12	**Accounts Receivable**	**1,000**	
	Sales		**1,000**
	Sold merchandise on terms 2/10,n60		

Suppose the cost of the inventory that was sold was $600.

12	**Cost of goods sold**	**600**	
	Merchandise Inventory		**600**
	To record cost of merchandise sold		

Perpetual System

Receiving Payment

Case 1 - Customer pays in 10 days

Payment by the customer. 2% discount extended.

Nov.22	**Cash**	**980**	
	Sales discounts	**20**	
	Accounts receivable		**1,000**
	Received payment less the discount		

Sales discounts is a contra revenue account used to keep track of discounts offered and taken advantage of by buyers.

Case 2 - Customer pays between the 11th and 60th day days

Payment by the customer. 2% discount NOT extended.

Jan.11	**Cash**	**1,000**	
	Accounts receivable		**1,000**
	Received payment for Nov. 12 sale		

Perpetual System

Sales Returns

(1 return = 2 journal entries!)

Suppose a customer returns $800 of the items they had bought from us.

Nov.6	**Sales Returns & Allowance**	**800**	
	Accounts Receivable		**800**
	Customer returned merchandise		

"Sales Returns and Allowances" is a contra revenue account used to keep track returns and allowances extended to customers.

The "Sales Returns and Allowances" account is very important because it represents orders in which something went wrong. Orders that go wrong can lead to **unhappy customers.**

We must also put these returned items back into our inventory. The $800 of items that were returned cost us $600.

Nov.6	**Merchandise Inventory**	**600**	
	Cost of Goods Sold		**600**
	Returned goods to merchandise inventory		

Perpetual System

Sales Allowances

Suppose the $800 of merchandise that was sold was damaged or perhaps the wrong colour, but still sellable, and the buyer decided that they would keep the goods because Z-Mart offers a $500 reduction in price. In this case Z-Mart must simply reflect this transaction as follows.

Nov.6	**Sales Returns and Allowances**	**500**	
	Accounts Receivable		**500**
	To record sales allowance.		

Credit Memorandum

In the case where Z-Mart offers a return or an allowance, they prepare a **credit memorandum** to confirm these details for the purchaser.

Case: Z-Mart (seller) accepts $800 of returned merchandise from Bricks (buyer)

Bricks (buyer)

Bricks will debit *Accounts Payable–Z-Mart* for $800

Credit Memorandum

Credit—CM401

Z-MART
10 Prairie Street
Winnipeg, MB R3J 1G9

To:

Firm Name *Bricks*
Attention of *Joe Wanserski, President*
Address *550 River Road*
Guelph *ON* *N1E 3R9*
City Province Postal Code

Date	Contact:	Invoice	Invoice	Type:
Nov. 6/11	T. Novak	No. 4887-8	Date: Nov. 3/11	Return

Catalogue No.	Description	Quantity	Price	Amount
7N7 101	*Gas Lanterns: Returned due to defective switches.*	*8*	*100*	*800*
☑ Credit Account ☐ Cash Refund ☐ Other (see reverse)			Total	800

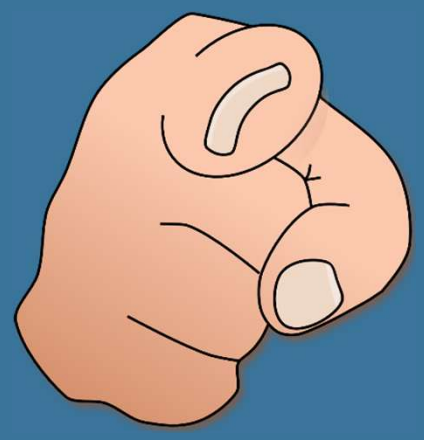
Z-Mart (seller)

Z-Mart will credit *Accounts Receivable–Bricks* for $800 and send credit memorandum

Debit vs. Credit Memos

Debit Memo	Credit Memo
What is a debit memo? • A document prepared by the purchaser to "debit" or reduce the purchaser's account payable	What is a credit memo? • A document prepared by the seller to "credit" or reduce the customer's account receivable
Why is a debit memo issued? • To reduce the purchaser's account payable because of: 1. Return of unsatisfactory goods 2. Allowance 3. Error	Why is a credit memo issued? • To reduce the seller's account receivable because of: 1. Return of unsatisfactory goods 2. Allowance 3. Error

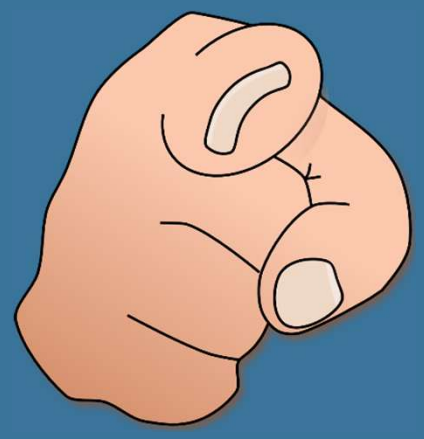
Your Turn



QS 6-8,6-9,6-10

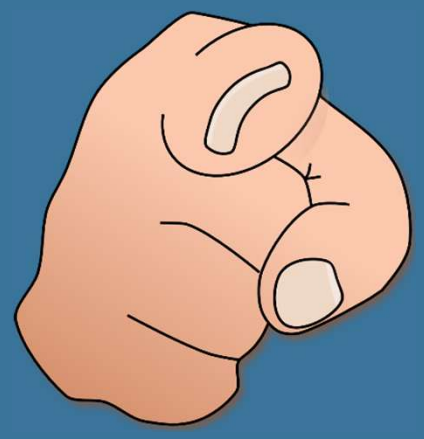
Ex 6-4, Ex 6-5

Your Turn



Ex 6-6, Ex 6-7

Your Turn



Pr 6-2A and Pr 6-3A

Adjustments in Merchandising Businesses

All of our "typical" adjustments are still required.

Prepaid Expenses

Accrued Expenses

Depreciation

Unearned Revenues

Accrued Revenues

There is one "special" adjustment required for merchandisers using <u>perpetual inventory systems</u>...

“Special” Merchandiser Adjustment (perpetual inventory)

While perpetual inventory systems keep an “up-to-the-minute” record of inventory, there are several things that can cause this record to be inaccurate.

Theft

Product deterioration

Sales Errors

ETC.

Shrinkage

"Special" Merchandiser Adjustment (perpetual inventory)

So, even in a perpetual inventory system, a periodic count must be done to account for shrinkage.

A physical count of Z-Mart's inventory revealed that $21,000 of inventory on hand. Their unadjusted trial balance suggested $21,250 of inventory.

Dec. 31	**Cost Of Goods Sold**	**250**	
	Merchandise Inventory		**250**
	Shrinkage adjustment after physical count		

Summary of Merchandise Cost Flows

Merchandise Inventory

Dec. 31, 2010, balance	19,000		
Reflects entries to record **purchases of merchandise** during 2011	235,800	4,200	Reflects entries to record **purchase discounts** during 2011
Reflects **transportation-in** costs incurred during 2011	2,300	1,500	Reflects entries to record **purchase returns and allowances** during 2011
Reflects entries to record **merchandise returned by customers** and restored to inventory during 2011	1,400	231,550	Reflects **cost of sales** transactions during 2011
Dec. 31, 2011, unadjusted balance	21,250	250	Dec. 31, 2011, adjustment for **shrinkage**
Dec. 31, 2011, adjusted balance	21,000		

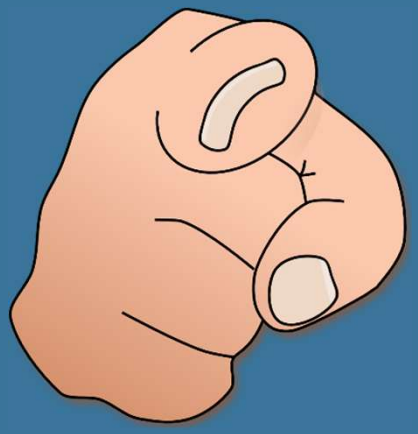
Net cost of purchases

Cost of goods sold transferred from inventory account.

Cost of Goods Sold

Reflects entries to record the **cost of sales** for 2011	231,550	1,400	Reflects entries to record **merchandise returned** by customers and restored to inventory during 2011
Dec. 31, 2011, unadjusted balance	230,150		
Dec. 31, 2011, adjustment for **shrinkage**	250		
Dec. 31, 2011 adjusted balance	230,400		

Your Turn



QS 6-12

Ex 6-9

Merchandiser's Worksheet

		Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet & Statement of Changes in Equity	
No.	Account	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
101	Cash	8,200				8,200				8,200	
106	Accounts receivable	11,200				11,200				11,200	
119	**Merchandise inventory**	**21,250**			**(g) 250**	**21,000**				**21,000**	
124	Office supplies	2,350			(c) 1,800	550				550	
125	Store supplies	1,450			(b) 1,200	250				250	
128	Prepaid insurance	900			(a) 600	300				300	
163	Office equipment	4,200				4,200				4,200	
164	Accum. dep., office equipment		700		(e) 700		1,400				1,400
165	Store equipment	30,000				30,000				30,000	
166	Accum. dep., store equipment		3,000		(d) 3,000		6,000				6,000
201	Accounts payable		16,000				16,000				16,000
209	Salaries payable				(f) 800		800				800
301	Kent Marty, capital		40,160				40,160				40,160
302	Kent Marty, withdrawals	4,000				4,000				4,000	
406	Rent revenue		2,800				2,800		2,800		
413	**Sales**		**321,000**				**321,000**		**321,000**		
414	**Sales returns and allowances**	**2,000**				**2,000**		**2,000**			
415	**Sales discounts**	**4,300**				**4,300**		**4,300**			
502	**Cost of goods sold**	**230,150**		**(g) 250**		**230,400**		**230,400**			
612	Dep. expense, store equipment			(d) 3,000		3,000		3,000			
613	Dep. expense, office equipment			(e) 700		700		700			
620	Office salaries expense	25,000		(f) 300		25,300		25,300			
621	Sales salaries expense	18,000		(f) 500		18,500		18,500			
633	Interest expense	360				360		360			
637	Insurance expense			(a) 600		600		600			
641	Rent expense, office space	900				900		900			
642	Rent expense, selling space	8,100				8,100		8,100			
650	Office supplies expense			(c) 1,800		1,800		1,800			
651	Store supplies expense			(b) 1,200		1,200		1,200			
655	Advertising expense	11,300				11,300		11,300			
	Totals	383,660	383,660	8,350	8,350	388,160	388,160	308,460	323,800	79,700	64,360
	Net income							15,340			15,340
	Totals							323,800	323,800	79,700	79,700

Income Statement Formats

- Income statements may be formatted in a variety of ways.
- Businesses can use the one they wish, as long as it meets minimum requirements for how expenses are displayed.

Typical formats are:

- Classified, Multiple-Step
- Multiple-Step
- Single-Step

Expense Classification Requirements

Expenses are to be shown on an income statement based on either their *nature*, their *function*, or both.

The **nature** of an expense is determined by its basic characteristics or what it is paying for. <u>This is what we are used to</u>.

Using this method we would see expenses like:

- salaries expense
- rent expense
- advertising expense
- etc.

The **function** of an expense describes the "grouping" of expenses based on their purpose or what they relate to. Indicates the *function* of the business the expense is supporting

Examples would be:

- ***selling expenses***
- ***general and administrative expenses.***

The Need to Fully Disclose

Any other information that is relevant about the operations or financial position of the business must be added to the bottom of the income statement.

This ensures that we meet the Full Disclosure GAAP Principle.

Full Disclosure Principle: Requires that financial statements report all relevant information about the operations and financial position of the entity.

Classified Multi-step Format

(for internal reporting)

- Lots of detail
- Expenses listed by their *nature* and *function*.
- Some expenses are "split"..ie. Salaries Expense and Rent Expense.

Z-Mart
Income Statement
For Year Ended December 31, 2011

Sales			$321,000
Less: Sales discounts		$ 4,300	
Sales returns and allowances		2,000	6,300
Net sales			$314,700
Cost of goods sold			230,400
Gross profit from sales			$ 84,300
Operating expenses:			
Selling expenses:			
Sales salaries expense	$18,500		
Advertising expense	11,300		
Rent expense, selling space	8,100		
Depreciation expense, store equipment	3,000		
Store supplies expense	1,200		
Total selling expenses		$42,100	
General and administrative expenses:			
Office salaries expense	$25,300		
Office supplies expense	1,800		
Rent expense, office space	900		
Depreciation expense, office equipment	700		
Insurance expense	600		
Total general and administrative expenses		29,300	
Total operating expenses			71,400
Income from operations			$ 12,900
Other revenues and expenses:			
Rent revenue		$ 2,800	
Interest expense		360	2,440
Net income			$ 15,340

Multi-step Format

(for external reporting)

- Expenses listed only by *nature*.
- No functional categories.
- Detailed calculation of net sales left out.
- Notice that some expenses have been "merged"
  - Salaries expenses
  - Rent expenses
  - Depreciation expenses

This is basically the Income Statement we have been making up to this point.

Z-Mart
Income Statement
For Year Ended December 31, 2011

Net sales		$314,700
Cost of goods sold		230,400
Gross profit from sales		$ 84,300
Operating expenses:		
Salaries expense	$43,800	
Advertising expense	11,300	
Rent expense	9,000	
Depreciation expense	3,700	
Supplies expense	3,000	
Insurance expense	600	
Total operating expenses		71,400
Income from operations		$ 12,900
Other revenues and expenses:		
Rent revenue	$ 2,800	
Interest expense	360	2,440
Net income		$ 15,340

Single-step Format

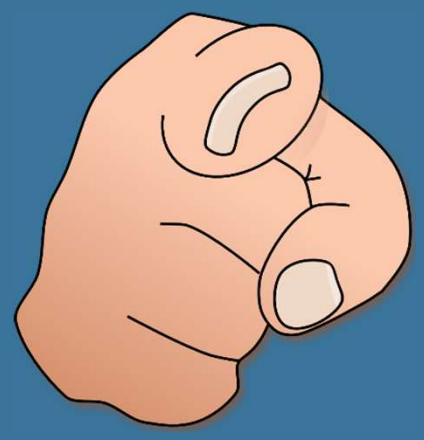
(for external reporting)

- **Little detail**
- **Expenses grouped <u>only by their</u> <u>function.</u>**
- **COGS is included as an expense.**

Z-Mart
Income Statement
For Year Ended December 31, 2011

Revenues:		
Net sales	$314,700	
Rent revenue	2,800	
Total revenues		$317,500
Expenses:		
Cost of goods sold	$230,400	
Selling expenses	42,100	
General and administrative expense	29,300	
Interest expense	360	
Total expenses		302,160
Net income		$ 15,340

Your Turn



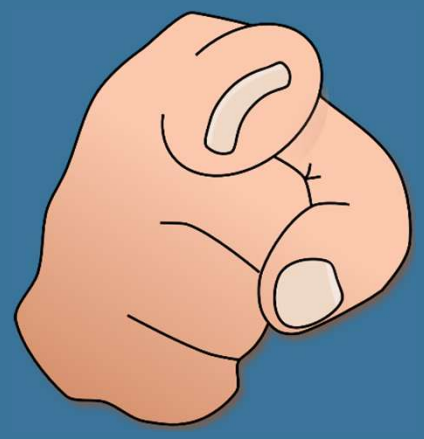
- Ex 6-15 part a. only (multi-step)
  - Ex 6-16 part a.(worksheet) and b. only(classified multi-step)

Gross Profit Ratio

- The amount of gross profit expressed as a percentage of net sales.
- May be tracked over time and/or compared to similar businesses.
- May be calculated for whole business, departments, products.
- Tells you how much gross profit was generated for every $1 in Net Sales.
- The higher the ratio the better. Means you are keeping a higher percentage of your sales.

$$\text{Gross profit ratio} = \frac{\text{Gross profit from sales}}{\text{Net sales}} \times 100\%$$

Your Turn



- QS 6-14
- Ex 6-11, Ex 6-12, Ex 6-13

Closing Entries-Perpetual System

- The closing process is similar for merchandising and service companies.
- Merchandising companies have additional temporary accounts that must be closed.

Z-Mart
Adjusted Trial Balance
December 31, 2011

	Debit	Credit
Cash	$ 8,200	
Accounts receivable	11,200	
Merchandise inventory	21,000	
Office supplies	550	
Store supplies	250	
Prepaid insurance	300	
Office equipment	4,200	
Accumulated depreciation, office equipment		$ 1,400
Store equipment	30,000	
Accumulated depreciation, store equipment		6,000
Accounts payable		16,000
Salaries payable		800
Kent Marty, capital		40,160
Kent Marty, withdrawals	4,000	
Rent revenue		2,800
Sales		**321,000**
Sales returns and allowances	**2,000**	
Sales discounts	**4,300**	
Cost of goods sold	**230,400**	
Depreciation expense, store equipment	3,000	
Depreciation expense, office equipment	700	
Office salaries expense	25,300	
Sales salaries expense	18,500	
Interest expense	360	
Insurance expense	600	
Rent expense, office space	900	
Rent expense, selling space	8,100	
Office supplies expense	1,800	
Store supplies expense	1,200	
Advertising expense	11,300	
Totals	$388,160	$388,160

Simple Method

Closing Entries – Journal Entry #1

Close the Revenue (credit balances) accounts to Capital

Dec. 31	**Rent Revenue**	**2800**	
	Sales	**321,000**	
	Capital		**323,800**
	Closing revenues		

Simple Method

Closing Entries – Journal Entry #2

Close the Expenses, Contra Revenues, and COGS (debit balances) accounts to Capital

Dec. 31	**Capital**	**308,460**	
	Sales Discounts		**4,300**
	Sales Returns and Allowances		**2,000**
	Cost of Goods Sold		**230,000**
	Depreciation Expense, Store Equipment		**3,000**
	Depreciation Expense, Office Equipment		**700**
	Office Salaries Expense		**25,300**
	Sales Salaries Expense		**18,500**
	Interest Expense		**360**
	Insurance Expense		**600**
	Rent Expense, Office Space		**900**
	Rent Expense, Selling Space		**8,100**
	Office Supplies Expense		**1,800**
	Store Supplies Expense		**1,200**
	Advertising Expense		**11,300**
	Closing expenses, contra revenues, and COGS		

Simple Method

Closing Entries – Journal Entry #3

Close the Withdrawals accounts to Capital

Dec. 31	**Captial**	**4,000**	
	Withdrawals		**4,000**
	Closing withdrawals		

Income Summary Method

Closing Entries – Journal Entry #1

Close the temporary accounts with credit balances accounts to Income Summary

Dec.	31	Rent Revenue	2,800	
		Sales	**321,000**	
		Income Summary		323,800
		To close temporary accounts having credit balances.		

Posting this entry to the ledger gives a zero balance to the Rent Revenue and Sales accounts and opens the Income Summary account.

Income Summary Method

Closing Entries – Journal Entry #2

Close the Expenses, Contra Revenues, and COGS (debit balances) accounts to Income Summary

As contra revenue accounts, these are income statement accounts and must be closed.

Dec.	31	Income Summary	308,460	
		Sales Discounts		**4,300**
		Sales Returns and Allowances		**2,000**
		Cost of Goods Sold		**230,400**
		Depreciation Expense, Store Equipment		3,000
		Depreciation Expense, Office Equipment		700
		Office Salaries Expense		25,300
		Sales Salaries Expense		18,500
		Interest Expense		360
		Insurance Expense		600
		Rent Expense, Office Space		900
		Rent Expense, Selling Space		8,100
		Office Supplies Expense		1,800
		Store Supplies Expense		1,200
		Advertising Expense		11,300
		To close temporary accounts having debit balances.		

Income Summary Method

Closing Entries – Journal Entry #3

Close the Income Summary account to Capital

Dec.	31	Income Summary	15,340	
		Kent Marty, Capital		15,340
		To close the income summary account.		

Notice that the $15,340 amount in the entry is net income reported on the income statement in Exhibits 6.15 to 6.17.

Income Summary Method

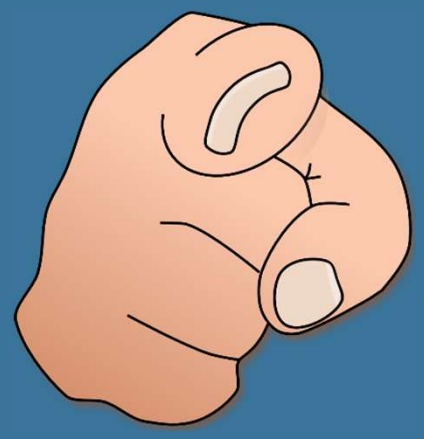
Closing Entries – Journal Entry #4

Close the Withdrawals accounts to Capital

Dec.	31	Kent Marty, Capital	4,000	
		Kent Marty, Withdrawals		4,000
		To close the withdrawals account.		

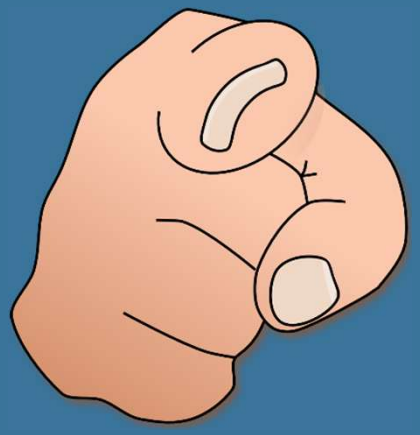
When this entry is posted, all temporary accounts are closed and ready to record events for the year 2012. The owner's capital account is also updated and reflects transactions of 2011.

Your Turn



- QS 6-15
- Ex 6-15 part b. and c. only
- Ex 6-16 part c.

Your Turn



Ch 6 – Assignment Prep

- Problem 6-1B
- Problem 6-7A
- Problem 6-8A